

Project Report

(Submitted for the degree of Bachelors of Commerce (Hons.) in Marketing
under the University of Calcutta)

Title of the Project

(How brand loyalty affects customer retention and lifetime value)

Submitted by

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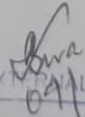
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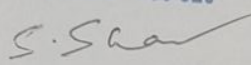
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Annexure-IA

Supervisor's Certificate

This is to certify that Mr. Siddharth Kejriwal a student of B.COM Honors in Marketing of the **The Bhawanipur Education Society College** under University of Calcutta has worked under my supervision and guidance for her project work and prepared a project Report with the title, "**HOW BRAND LOYALTY AFFECTS CUSTOMER RETENTION AND LIFETIME VALUE**" which he is submitting, is his genuine and original work to the best of my knowledge.

Prof. Sakshi Shaw
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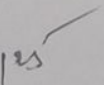
Signature: 

Name: Prof. Sakshi Shaw

Designation: Lecturer

Name of the college: The Bhawanipur Education Society College

Place: Kolkata

Date: 23/04/25 

Annexure-IB

STUDENT DECLARATION

I hereby declare that the project work with the title "**HOW BRAND LOYALTY AFFECTS CUSTOMER RETENTION AND LIFETIME VALUE**" submitted by me for the partial fulfilment of the degree of B.COM. HONOURS in Accounting & Finance under the university of Calcutta is my original work and has not been submitted earlier to any university for the fulfilment of the requirement for any course of study.

I also declare that no chapter of this manuscript in whole or in part has been incorporated in this report from any earlier work done by others or by me. However, extract of any literature which has been used for this report has been duly acknowledged providing details of such literature in the references.

Signature: Siddharth Kejriwal

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ACKNOWLEDGEMENT

At the completion of my project, I would like to express my sincere gratitude to all the people without whose support this project could not be completed.

At the onset, I would like to thank "THE BHAWANIPUR EDUCATION SOCIETY COLLEGE" for having provided me with a great opportunity to pursue my bachelor's degree in this institution.

I would like to acknowledge the constant help of my project guide Prof. Sakshi Shaw, who has given necessary suggestion, expert guidance and support for the completion of the project.

Finally I am gratefully acknowledging the support of my family and friends during the completion of this project.



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Abstract

Brand loyalty is increasingly recognized as a critical factor influencing customer retention and, consequently, customer lifetime value (CLV). This paper delves into the complex relationship between brand loyalty and its effects on both the retention of existing customers and the maximization of their lifetime value to a business. Brand loyalty, characterized by a customer's consistent preference for a particular brand over time, is considered an essential driver of long-term profitability. Loyal customers tend to make repeat purchases, engage more deeply with a brand, and exhibit a higher tolerance for price increases or product modifications, all of which contribute to enhancing the overall value they bring to a business.

The study begins by outlining the key elements that foster brand loyalty, including the perceived quality of products or services, customer satisfaction, trust, emotional connection, and brand reputation. It examines how these factors create a strong bond between customers and brands, which leads to increased retention rates. Loyal customers are more likely to continue purchasing from a brand even in the face of competitive alternatives, leading to higher retention and reduced churn.

Furthermore, this paper explores the financial impact of brand loyalty on customer lifetime value. CLV is a metric used to estimate the total revenue a business can expect from a customer over the course of their relationship. The study highlights how loyal customers, who tend to have longer and more frequent buying cycles, significantly contribute to the long-term financial success of a business. The paper also investigates how brand loyalty can reduce the costs associated with customer acquisition, as retaining existing customers is generally less expensive than acquiring new ones.

Through an extensive review of academic literature, empirical studies, and real-world case examples, the paper illustrates how various industries leverage brand loyalty to enhance customer retention and increase CLV. It discusses the role of loyalty programs, personalized marketing strategies, superior customer service, and community engagement as effective tools in nurturing brand loyalty.

Moreover, the paper provides practical recommendations for businesses looking to cultivate brand loyalty among their customer base. These strategies include creating memorable customer experiences, focusing on value-based marketing, and building a trustworthy and transparent brand image. The study concludes by emphasizing that a customer-centric approach, which aligns a brand's values with its customers' expectations, is vital for building long-term loyalty and, by extension, increasing CLV.

In summary, the paper argues that brand loyalty is a crucial driver of customer retention and lifetime value, with significant implications for both marketing strategies and financial outcomes. By fostering brand loyalty, businesses can not only enhance short-term sales but also ensure sustained growth and profitability over time.

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CHAPTER- 1

INTRODUCTION

1.1 Background of the Study

Brand loyalty has long been a focal point for marketers and business strategists, as it is recognized as a key driver of sustained competitive advantage and long-term profitability. In an increasingly competitive and crowded market landscape, businesses are continually seeking ways to retain customers and enhance the lifetime value they derive from each individual. The concept of brand loyalty—the degree to which customers consistently choose one brand over others—has evolved from being a mere indicator of customer preference to a vital factor influencing a company's growth and success.

The relationship between brand loyalty, customer retention, and lifetime value (CLV) is fundamental in understanding how businesses can develop sustainable, profitable customer relationships. Customer retention refers to a company's ability to keep its customers over time, reducing churn and ensuring continued patronage. On the other hand, customer lifetime value measures the total worth of a customer over the duration of their relationship with a brand. Loyal customers, by virtue of their repeated engagement, generate higher CLV, making brand loyalty a cornerstone for achieving long-term profitability.

Historically, companies focused heavily on customer acquisition, investing considerable resources in attracting new customers. However, the high costs associated with customer acquisition have led businesses to rethink this approach, emphasizing the importance of retaining existing customers. It is well-documented that retaining a customer is more cost-effective than acquiring a new one, with studies suggesting that increasing customer retention by just 5% can lead to an increase in profits by as much as 25% to 95%. This shift has placed greater emphasis on understanding what drives customer loyalty and, subsequently, how to enhance retention and CLV.

The concept of brand loyalty has been influenced by several psychological, emotional, and transactional factors. Key drivers of brand loyalty include product quality, customer satisfaction, trust, emotional connections, and consistent positive experiences with the brand. A loyal customer is one who not only repeatedly purchases from a brand but also recommends it to others, often engaging in word-of-mouth marketing, which further enhances retention rates.

A robust body of research has explored the intricate dynamics between brand loyalty and customer retention. Scholars have identified that loyalty is not just the result of offering superior products or services but is often shaped by intangible elements such as brand personality, customer experience, and social influences. With the proliferation of digital platforms and social media, customers today have more touchpoints and engagement channels than ever before, making their loyalty both harder to achieve and more valuable to businesses. As such, companies are increasingly adopting personalized marketing strategies, loyalty programs, and advanced customer service initiatives to strengthen their brand loyalty and, in turn, their retention and CLV metrics.

In recent years, businesses have also been using advanced analytics and customer data to predict customer behavior, segment loyal customers, and tailor their marketing efforts to maximize customer retention and CLV. This shift towards data-driven strategies reflects the increasing importance of understanding customer preferences and behaviors to foster long-term relationships.

Overall, the relationship between brand loyalty, customer retention, and lifetime value is complex and multifaceted, influenced by a combination of emotional, psychological, and financial factors. As businesses seek to develop lasting customer relationships, they must prioritize strategies that foster brand loyalty, as this will lead to higher retention rates and, ultimately, increased customer lifetime value.

1.2 Objectives

The objectives behind a project examining how brand loyalty affects customer retention and lifetime value are essential for understanding the long-term success of a brand and its ability to maintain profitable customer relationships. These objectives help guide research, strategic decision-making, and the formulation of marketing or customer engagement strategies. Here are the key objectives for this project:

- Understanding the Impact of Brand Loyalty on Customer Retention and Customer Lifetime Value
- Identify Key Drivers of Brand Loyalty
- Examine the Relationship between Loyalty and Repeat Purchases
- Assess the Role of Emotional Connections in Loyalty.
- Assess the Long-Term Financial Benefits of Brand Loyalty Examine the Influence of Brand Loyalty on Customer Churn

1.3 Literature Review

Consumers are increasingly conscious of the environmental impact of their purchases. Brands that actively communicate and integrate sustainable practices into their operations experience enhanced brand loyalty, as consumers align themselves with socially responsible choices (Jackson et al., 2021)

The convenience of online shopping and the increasing prevalence of direct-to-consumer models impact brand loyalty. Brands that adeptly navigate the e-commerce landscape and provide seamless online experiences are better positioned for customer retention (Kim and Park, 2021).

In the dynamic landscape of consumer durable products, understanding the role of brand loyalty in customer retention has become increasingly crucial (Bashir et al., 2020). This literature review synthesizes key perspectives from seminal works in marketing and branding, providing a comprehensive understanding of the importance of brand loyalty in the context of the ever-evolving consumer durable products sector

Research in 2020 delved into the impact of technology on brand loyalty. With the advent of the new era, technological advancements significantly influenced consumer interactions with durable products. This study emphasized the need for brands to leverage technology not only in product

innovation but also in creating personalized and engaging experiences that foster brand loyalty (Wong and Chan, 2020)

Brands that prioritize post-purchase engagement, personalized interactions, and efficient customer service contribute to positive customer experiences. Positive experiences, in turn, are closely linked to increased brand loyalty and improved customer retention (Jones and Smith, 2020).

1.4 Research Methodologies

For the purpose of the research project primary and secondary data were used for properly analyzing the perception of individuals towards how brand loyalty affects consumer retention and lifetime value. Purposive sampling was used to select a diverse group of participants with varying buying experience. The response was taken with the help of questionnaire, which was circulated amongst 74 respondents

PRIMARY DATA: Questionnaire was distributed among various people having interest in their preferred brand. A questionnaire, which was circulated amongst 74 respondent.

SECONDARY DATA: Internet

Data Sources:

Research is totally based on primary data. Primary data has been collected by interacting with various people. Method that I have used to collect data is through surveys in the form of questionnaire (Google Form).

Sample Size:

A sample size of respondents was chosen because of the time constraint, though small sample size but it consists of various types of respondents so as to overcome any error at the time of generalization. There are 17 questions in it.

Sample Design:

Data has been presented with the help of tables and pie charts in my project

Contact Method:

Questionnaire method was used to establish direct contact with respondents

1.5 Need of the Study

Understanding how consumer behavior influences customer retention and lifetime value (CLV) is essential for businesses aiming to foster long-term profitability and growth. Consumer behavior encompasses the actions and decision-making processes of individuals when selecting, purchasing, and using products or services. By analyzing these behaviors, businesses can tailor their strategies to enhance customer loyalty and maximize CLV.

- Enhancing Customer Retention:
- Maximizing Customer Lifetime Value (CLV):
- Improving Product and Service Offerings:

1.6 Limitations

Understanding how consumer behavior influences customer retention and lifetime value (CLV) is essential for businesses aiming to enhance profitability and customer loyalty. However, studies in this area face several limitations:

- Data Accuracy and Completeness: Reliable analysis depends on accurate and comprehensive data. Inaccurate or incomplete data can lead to flawed insights, affecting the effectiveness of retention strategies.
- Predictive Modeling Challenges: Forecasting future consumer behavior involves inherent uncertainties. Models may not fully capture evolving preferences, leading to less accurate CLV predictions.
- Dynamic Consumer Behavior: Consumer preferences and behaviors are continually changing, influenced by factors like market trends and external events (e.g., pandemics). Static models may fail to adapt, reducing their predictive accuracy over time.
- Overemphasis on High-Value Customers: Focusing too heavily on high-value customers may overlook the potential of lower-value segments. Effective marketing should aim to uplift the entire customer base, not just the top tier.

Addressing these limitations necessitates continuous refinement of analytical models, incorporation of real-time data, and a balanced approach that considers the entire customer spectrum.

CHAPTER-2

National and International Scenario

2.1 National Scenario

➤ Brand Loyalty & Consumer Retention

Definition: Brand loyalty refers to consumers consistently choosing the same brand over competitors due to perceived value, trust, or emotional connection.

How it boosts retention:

- Consistent Repeat Purchases: Loyal customers tend to stick to the brand even when alternatives are available.
- Reduced Switching Behavior: Even with price fluctuations or new competitors, brand-loyal customers are less likely to switch.
- Stronger Emotional Ties: In national markets where culture, values, and identity play a role, brand loyalty can be deeply rooted (e.g., local brands that reflect national pride or values).

Example: In India, brands like Amul or Tata have retained loyal consumers for decades due to their consistent value and national identity.

➤ Brand Loyalty & Customer Lifetime Value (CLV)

Definition: CLV is the total worth of a customer to a brand over the entire duration of their relationship.

How loyalty increases CLV:

- Higher Frequency of Purchase: Loyal customers shop more often.
- Greater Spending over Time: They're more willing to spend on premium versions or related products.
- Lower Acquisition Costs: It's cheaper to retain a loyal customer than acquire a new one.
- More Word-of-Mouth: Loyal customers are more likely to refer others, indirectly increasing CLV.

Example: Apple users in the U.S. are known for high CLV — due to frequent product upgrades, accessory purchases, and service subscriptions.

National Factors Impacting Brand Loyalty and Retention

- Cultural Preferences: Local values and traditions often shape brand attachment.
- Economic Stability: In more stable economies, brand loyalty tends to be stronger due to consistent purchasing behavior.
- Availability & Accessibility: Nationwide distribution helps reinforce loyalty.
- Digital Penetration: In countries with high internet access, digital loyalty programs and online reviews play a big role.

In Summary:

Aspect	With Brand Loyalty
Consumer Retention	High – customers keep coming back
Lifetime Value (CLV)	Increased – more purchases over time
Marketing Costs	Lower – less needed to convince existing customers
Competitive Resistance	Higher – loyal consumers resist competitor attraction

2.2 International Scenario

➤ Brand Loyalty & Consumer Retention (International Context)

Global consumer behavior varies widely, but loyal customers around the world share key traits:

- Preference for familiar brands: Across cultures, people prefer what they trust — brands that stay consistent globally (like Coca-Cola, Nike, or Apple) enjoy high levels of loyalty.
- Cross-border retention: Brands with strong loyalty in one country often retain consumers even when they relocate internationally.
- Cultural adaptation strengthens retention: Global brands that localize their offerings (e.g., McDonald's offering regional menu items) create a stronger emotional bond, increasing loyalty and retention.

Example: Starbucks maintains customer loyalty worldwide by combining a consistent global experience with local cultural touches.

➤ Brand Loyalty & Customer Lifetime Value (CLV) Internationally

In global markets, brand loyalty supercharges CLV in several key ways:

- Higher Multi-Market Value: A loyal customer might buy the same brand across different regions (e.g., Nike apparel in the U.S. and then in Europe), extending their lifetime value internationally.
- Subscription Models Work Globally: Loyal users of services like Netflix or Spotify remain customers across borders, contributing to a high, stable CLV.
- Global Word-of-Mouth: Social media and online reviews from loyal users impact buying behavior across countries.

Example: Apple's ecosystem has created globally loyal customers who upgrade iPhones, buy AirPods across continents.

Key Global Factors That Influence Brand Loyalty & CLV

Factor	Impact on Loyalty and CLV
Cultural Sensitivity	Brands that adapt messaging/products locally increase loyalty and retention
Brand Consistency	Global trust builds when the brand experience is reliable and familiar in any country
Social Proof & Global Recognition	International acclaim boosts perceived quality and status — raising loyalty
Local Competition	Brands that outperform local players with better value/service often retain loyal customers
Digital Reach & E-commerce Growth	Global online platforms help brands maintain loyalty and CLV even without physical presence

Examples of Strong International Brand Loyalty Driving CLV:

Brand	Why It Works Globally
Apple	Seamless product ecosystem, premium branding, consistent experience, global community of users
Nike	Emotional branding, athlete endorsements, global fashion status
Coca-Cola	Cultural adaptability (flavors, ads), nostalgic branding
Amazon	Loyalty through Prime subscriptions, consistent service across countries
Samsung	Diverse product range, local market customization, global service support

In Summary

International brand loyalty directly:

- Boosts consumer retention across different countries and cultures
- Multiplies CLV by extending brand engagement across time *and* geography
- Reduces marketing costs in new regions by leveraging global trust.

Chapter-3

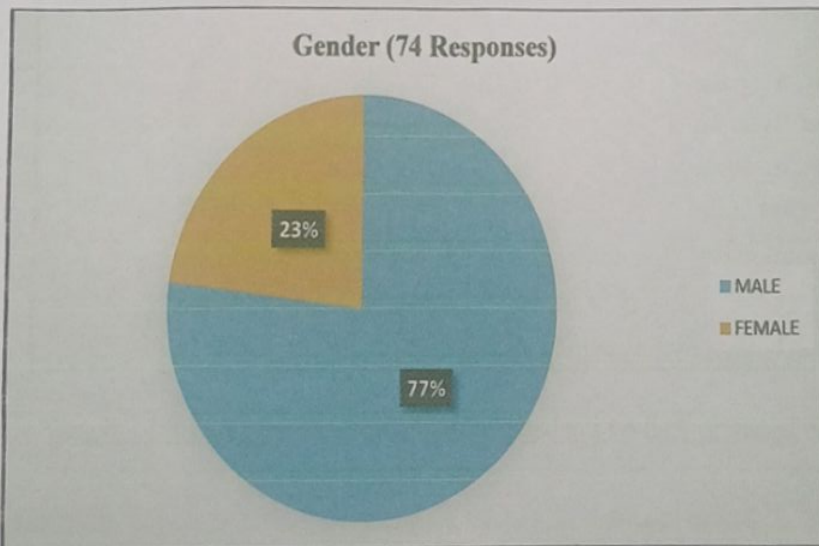
Presentation, Analysis and Findings

3.1 Presentation of Data and Analysis

3.1.1 Gender

Demographic Characteristics		
GENDER	RESPONDENTS	PERCETAGE
MALE	57	77%
FEMALE	17	23%
OTHERS	0	0%
TOTAL	74	100%

Table 3.1.1 Demographic Profile of the Respondents.



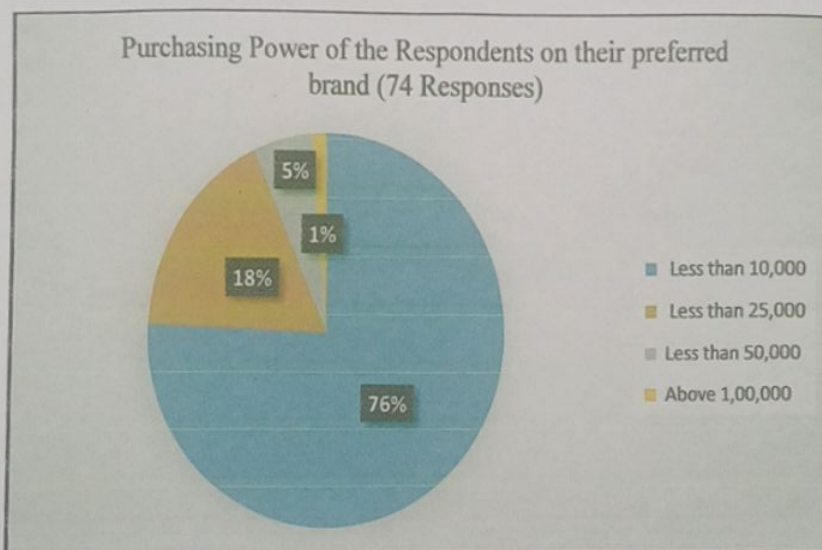
Graph 3.1.1 Demographic Profile of the Respondents.

Interpretation: Graph 3.1.1 shows the gender of the respondents. Out of 74 respondents, 57(77%) are male respondents and 17(23%) are female respondents, and no one preferred not to say.

3.1.2 Purchasing Power of the Respondents on their preferred brand

Monthly Spending Limit on a Preferred Brand		
DISTRIBUTION	RESPONDENTS	PERCETAGE
Less than 10,000	56	76 %
Less than 25,000	13	18 %
Less than 50,000	4	5.00%
Above 1,00,000	1	1.00%
TOTAL	74	100%

Table 3.1.2 Purchasing Power of the Respondents on their preferred brand.



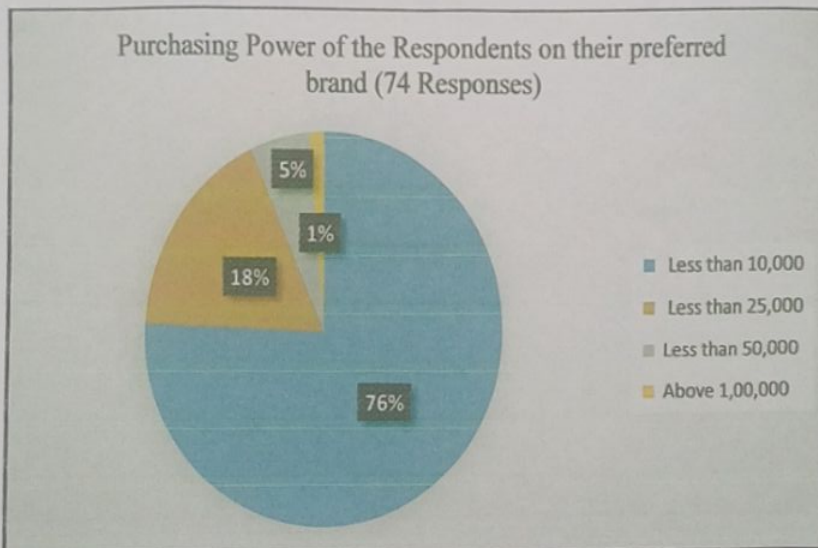
Graph 3.1.2 Purchasing Power of the Respondents on their preferred brand.

Interpretation: Graph 3.1.2 shows the purchasing power of the respondents. Out of 74 respondents, 56(76%) are less than 10,000 respondents and 13(18%) are less than 25,000 respondents, and 4(5%) are less than 50,000 respondents and 1(1%) are above 100,000 respondents

3.1.2 Purchasing Power of the Respondents on their preferred brand

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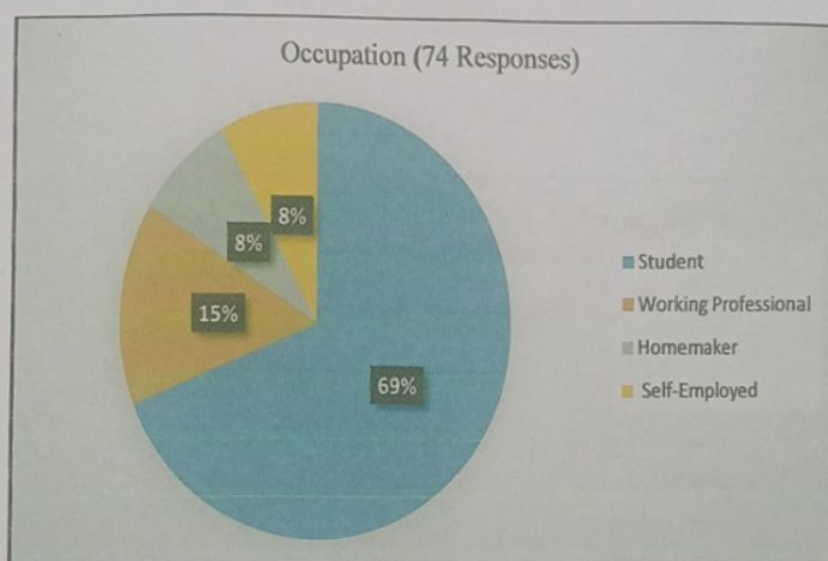
Graph 3.1.2 Purchasing Power of the Respondents on their preferred brand.

Interpretation: Graph 3.1.2 shows the purchasing power of the respondents. Out of 74 respondents, 56(76%) are less than 10,000 respondents and 13(18%) are less than 25,000 respondents, and 4(5%) are less than 50,000 respondents and 1(1%) are above 100,000 respondents

3.1.3 Occupation

Occupation		
DISTRIBUTION	RESPONDENTS	PERCETAGE
Student	51	68.00 %
Working Professional	11	15.00 %
Homemaker	6	8.00%
Self-Employed	6	8.00%
TOTAL	74	100%

Table 3.1.3 Occupation.



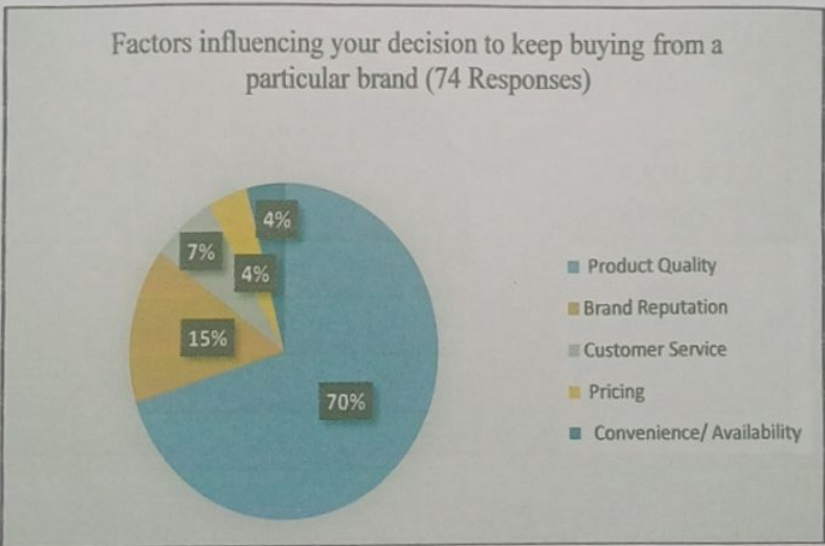
Graph 3.1.3 Occupation.

Interpretation: Graph 3.1.3 shows the occupation of the respondents. Out of 74 respondents, 51(68%) of the respondents are student, 11(15%) of the respondents are working professional, 6(8%) of the respondents are homemaker, 6(8%) of the respondents are self-employed.

3.1.4 What factors influence your decision to keep buying from a particular brand?

Occupation		
Categories	RESPONDENTS	PERCETAGE
Product Quality	52	70.00%
Brand Reputation	11	14.00%
Customer Service	5	7.00%
Pricing	3	4.00%
Convenience/ Availability	3	4.00%
TOTAL	74	100%

Table 3.1.4 Factors influencing your decision



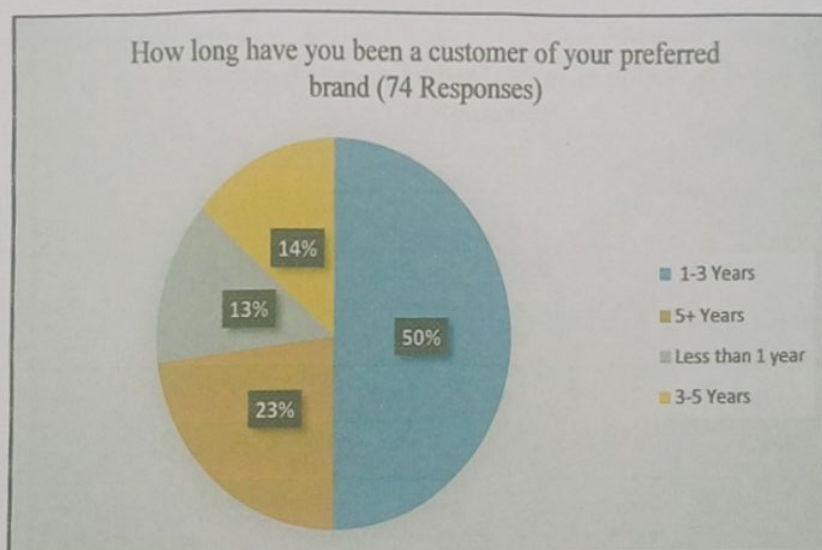
Graph 3.1.4 Factors influencing your decision

Interpretation: Graph 3.1.4 shows the factors influencing your decision of the respondents. Out of 74 respondents, 52(70%) of the respondent voted for product quality, 11(14.00%) of the respondent voted for brand reputation, 5(7.00%) voted for customer service, 3(4%) of the respondent voted for pricing, 3(4%) voted for convenience/availability

3.1.5. How long have you been a customer of your preferred brand?

Categories	RESPONDENTS	PERCETAGE
1-3 Years	37	50%
5+ Years	17	23%
Less than 1 year	10	13%
3-5 Years	10	14%
TOTAL	74	100%

Table 3.1.5 How long have you been a customer of your preferred brand



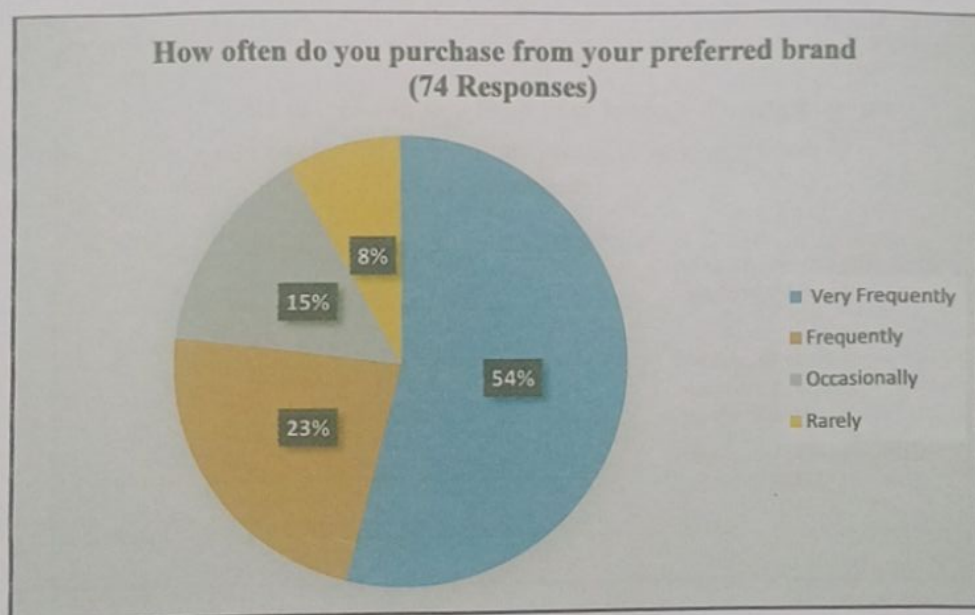
Graph 3.1.5 How long have you been a customer of your preferred brand

Interpretation: Graph 3.1.5 shows the how long have you been a customer of your preferred brand. Out of 74 respondents, 37(50%) of the respondent voted for 1-3 years, 17(23%) voted for 5+ years, 10(13%) voted for less than 1 year, 10(14%) voted for 3-5 years.

3.1.6 How often do you purchase from your preferred brand?

Categories	RESPONDENTS	PERCETAGE
Very Frequently	40	54%
Frequently	17	23%
Occasionally	11	15%
Rarely	6	8%
TOTAL	74	100%

Table 3.1.6 How often do you purchase from your preferred brand



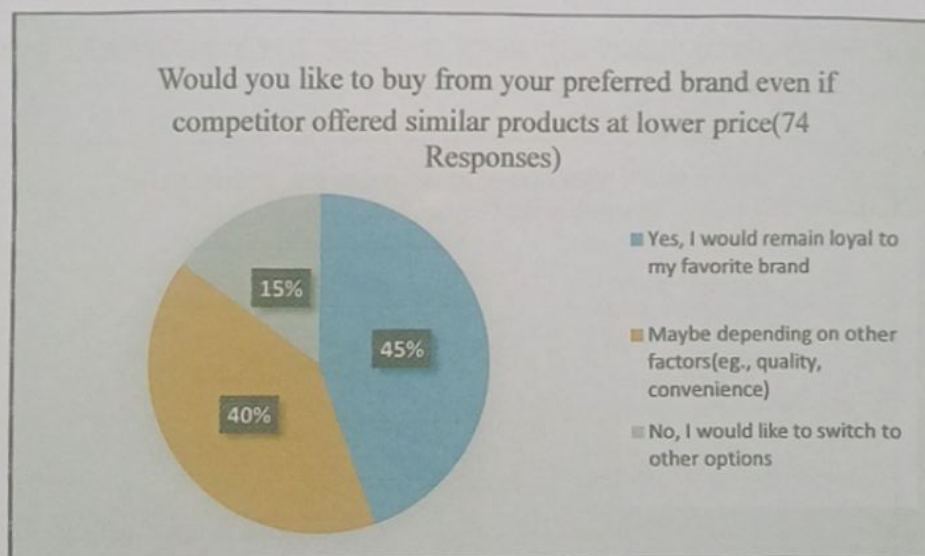
Graph 3.1.6 How often do you purchase from your preferred brand

Interpretation: Graph 3.1.6 shows how often do you purchase from your preferred brand. Out of 74 respondents, 40(54%) of the respondents voted for very frequently, 17(23%) of the respondent voted for frequently, 11(15%) of the respondent voted for occasionally, while 6(8%) of the respondent voted for rarely.

3.1.7. Would you like to buy from your preferred brand even if competitor offered similar products at lower price?

Categories	RESPONDENTS	PERCETAGE
Yes, I would remain loyal to my favorite brand	33	45%
Maybe depending on other factors(e.g. quality, convenience)	30	40%
No, I would like to switch to other options	11	15%
TOTAL	74	100%

Table 3.1.7. How often do you purchase from your preferred brand



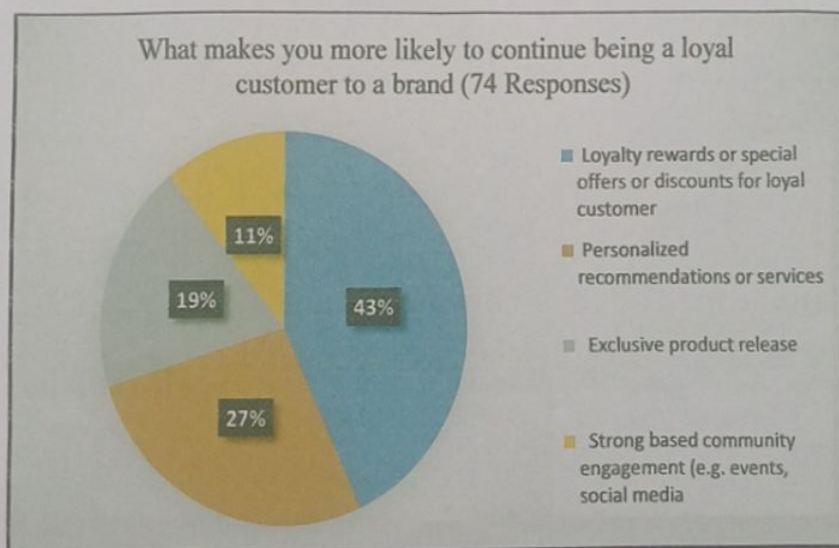
Graph 3.1.7 How often do you purchase from your preferred brand

Interpretation: Graph 3.1.7 shows often do you purchase from your preferred brand. Out of 74 respondents, 33(45%) of the respondent voted for yes, I would remain loyal to my favorite brand, 30(40%) of the respondent voted for maybe depending on other factors (e.g. quality, convenience), 11(15%) of the respondent voted for no, I would like to switch to other options.

3.1.8. What makes you more likely to continue being a loyal customer to a brand?

Categories	RESPONDENTS	PERCETAGE
Loyalty rewards or special offers or discounts for loyal customer	32	43%
Personalized recommendations or services	20	27%
Exclusive product release	14	19%
Strong based community engagement (e.g. events, social media)	8	11%
TOTAL	74	100%

Table 3.1.8 What makes you more likely to continue being a loyal customer to a brand



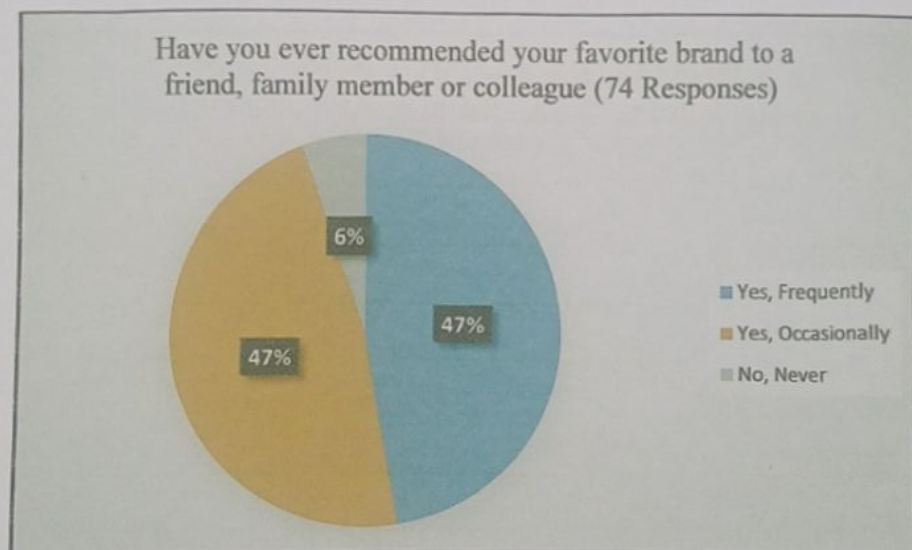
Graph 3.1.8 What makes you more likely to continue being a loyal customer to a brand

Interpretation: Graph 3.1.7 shows what makes you more likely to continue being a loyal customer to a brand. Out of 74 respondent, 32(43%) of the respondent voted for loyalty rewards or special offers or discounts for loyal customer, 20(27%) of the respondent voted for personalized recommendations or services, 14(19%) of the respondent voted for exclusive product release, 8(11%) of the respondent voted for strong based community engagement (e.g. events, social media)

3.1.9 Have you ever recommended your favorite brand to a friend, family member or colleague?

Categories	RESPONDENTS	PERCETAGE
Yes, Frequently	35	47%
Yes, Occasionally	35	47%
No, Never	4	6%
TOTAL	74	100%

Table 3.1.9. Have you ever recommended your favorite brand to a friend, family member or colleague



Graph 3.1.9. Have you ever recommended your favorite brand to a friend, family member or colleague

Interpretation: Graph 3.1.9 shows that have you ever recommended your favorite brand to a friend, family member or colleague. Out of 74 respondent, 35(47%) of the respondent voted for yes, frequently, 35(47%) of the respondent voted for yes, occasionally, while 4(6%) of the respondent voted for no Never.

3.1.10. How likely are you to purchase a brand based on recommendations from friends, family or online reviews?

Categories	RESPONDENTS	PERCETAGE
Very Likely	32	%
Likely	22	%
Neutral	16	%
Unlikely	2	%
Very Unlikely	2	%
TOTAL	74	%

Table 3.1.10 How likely are you to purchase a brand based on recommendations from friends, family or online reviews



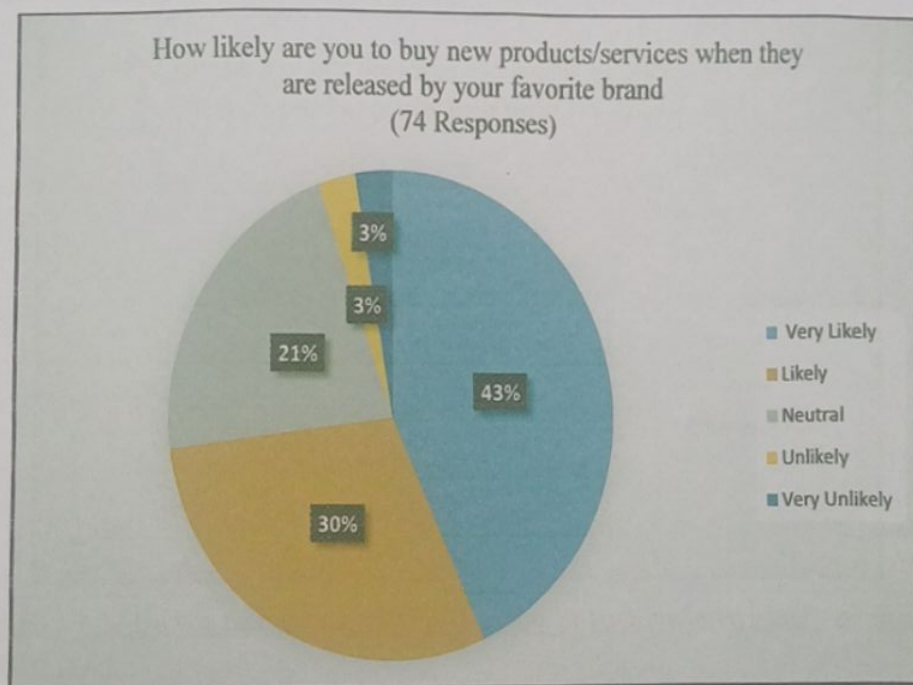
Graph 3.1.10 How likely are you to purchase a brand based on recommendations from friend family or online reviews

Interpretation: Graph 3.1.10 shows that how likely are you to purchase a brand based on recommendations from friends, family or online reviews. Out of 74 respondent, 32(43%) of the people voted for very likely, 22(30%) of the respondent voted for likely, 16(21%) of the respondent voted for neutral, 2(3%) of the respondent voted for very unlikely, while 2(3%) of the respondent voted for very unlikely.

3.1.11. How likely are you to buy new products/services when they are released by your favorite brand?

Categories	RESPONDENTS	PERCETAGE
Very Likely	32	43 %
Likely	22	30%
Neutral	16	21%
Unlikely	2	3%
Very Unlikely	2	3%
TOTAL	74	100%

Table 3.1.11. How likely are you to buy new products/services when they are released by your favorite brand



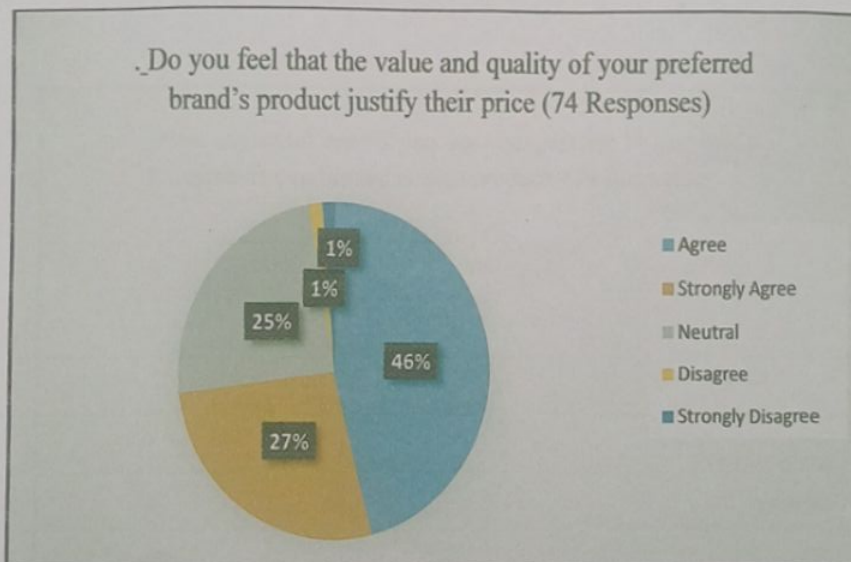
Graph 3.1.11 How likely are you to buy new products/services when they are released by your favorite brand

Interpretation: Graph 3.1.11 shows that how likely are you to buy new products/services when they are released by your favorite brand, family or online reviews. Out of 74 respondent, 32(43%) of the people voted for very likely, 22(30%) of the respondent voted for likely, 16(21%) of the respondent voted for neutral, 2(3%) of the respondent voted for very unlikely, while 2(3%) of the respondent voted for very unlikely.

3.1.12. Do you feel that the value and quality of your preferred brand's product justify their price?

Categories	RESPONDENTS	PERCETAGE
Agree	34	46 %
Strongly Agree	20	27%
Neutral	18	25%
Disagree	1	1%
Strongly Disagree	1	1 %
TOTAL	74	100 %

Table 3.1.12 Do you feel that the value and quality of your preferred brand's product justify their price



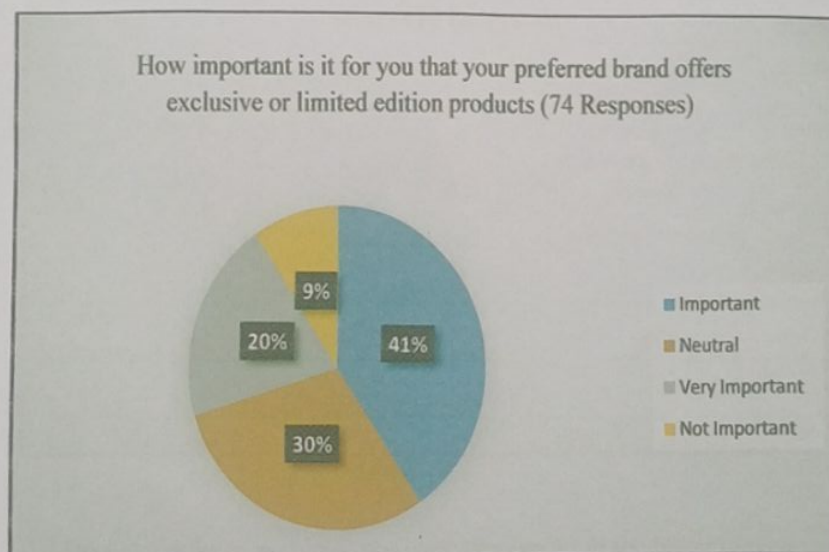
Graph 3.1.12 Do you feel that the value and quality of your preferred brand's product justify their price

Interpretation: Graph 3.1.12 illustrates that do you feel that the value and quality of your preferred brand's product justify their price. Out of 74 Respondents, 34(46%) of the respondents voted for agree, 20(27%) of the voters voted for strongly agree, 18(25%) of the respondents voted for neutral, 1(1%) of the respondents voted for disagree, while 1(1%) of the voters voted for strongly disagree.

3.1.13. How important is it for you that your preferred brand offers exclusive or limited edition products?

Categories	RESPONDENTS	PERCETAGE
Important	30	41 %
Neutral	22	30%
Very Important	15	20%
Not Important	7	9%
TOTAL	74	100 %

Table 3.1.13. How important is it for you that your preferred brand offers exclusive or limited- edition products



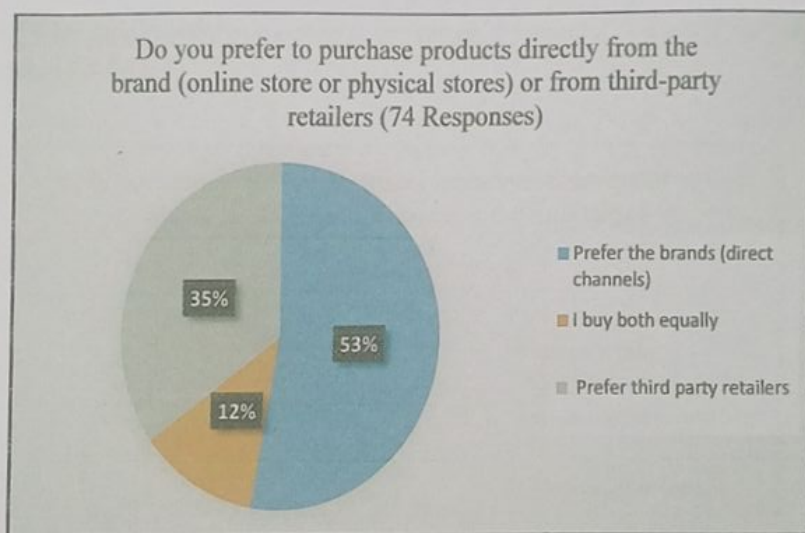
Graph 3.1.13. How important is it for you that your preferred brand offers exclusive or limited- edition products

Interpretation: Graph 3.1.13 illustrates that how important is it for you that your preferred brand offers exclusive or limited-edition products. Out of 74 respondent, 30(41%) of the respondent voted for Important, 22(30%) of the respondents voted for neutral, 15(20%) of the respondent voted for very important, while 7(9%) of the respondent voted for not important.

3.1.14. Do you prefer to purchase products directly from the brand (online store or physical stores) or from third-party retailers?

Categories	RESPONDENTS	PERCETAGE
Prefer the brands (direct channels)	39	53 %
I buy both equally	9	12%
Prefer third party retailers	26	35%
TOTAL	74	100%

Table3.1.14 Do you prefer to purchase products directly from the brand (online store or physical stores) or from third-party retailers



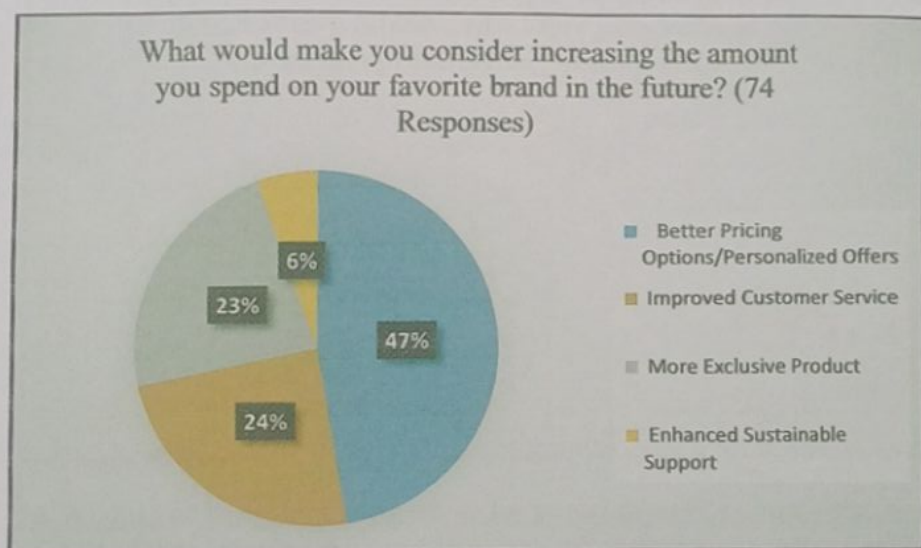
Graph 3.1.14 Do you prefer to purchase products directly from the brand (online store or physical stores) or from third-party retailers

Interpretation: Graph 3.1.14. states that do you prefer to purchase products directly from the brand (online store or physical stores) or from third-party retailers. Out of 74 respondent, 39(53%) of the respondent voted for prefer the brands (direct channels), 26(35%) of the respondents voted for prefer third party retailers, while 9(12%) of the respondent voted for I buy both equally.

3.1.15. What would make you consider increasing the amount you spend on your favorite brand in the future?

Categories	RESPONDENTS	PERCETAGE
Better pricing options/personalized offers	35	47 %
Improved customer Service	18	24%
More exclusive Product	17	23%
Enhanced sustainable support	4	6%
TOTAL	74	100 %

Table 3.1.15 What would make you consider increasing the amount you spend on your favorite brand in the future



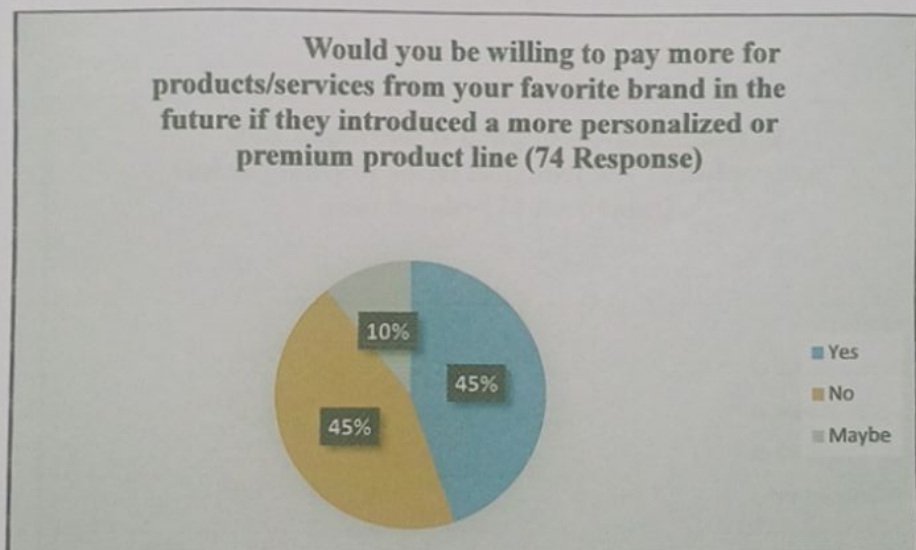
Graph 3.1.15 What would make you consider increasing the amount you spend on your favorite brand in the future

Interpretation: Graph 3.1.15. demonstrates that what would make you consider increasing the amount you spend on your favorite brand in the future. Out of 74 respondents, 35(47%) of the respondents voted for better pricing options/personalized offers, 18(24%) of the respondents voted for improved customer Service, 17(23%) of the respondents voted for more exclusive Product, while 4(6%) of the respondents voted for enhanced sustainable support.

3.1.16 Would you be willing to pay more for products/services from your favorite brand in the future if they introduced a more personalized or premium product line?

Categories	RESPONDENTS	PERCETAGE
Yes	33	45%
No	33	45%
Maybe	8	10%
TOTAL	74	100%

Table 3.1.16 Would you be willing to pay more for products/services from your favorite brand in the future if they introduced a more personalized or premium product line



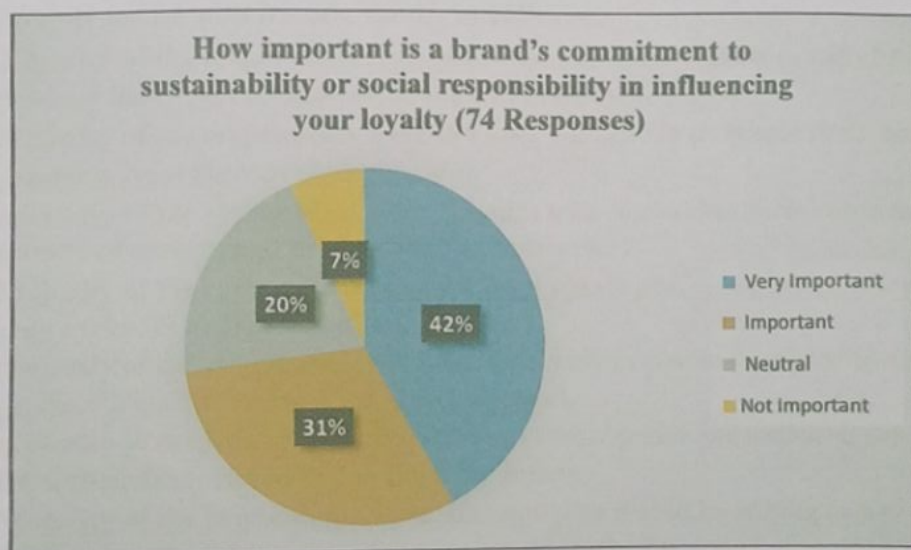
Graph 3.1.16 Would you be willing to pay more for products/services from your favorite brand in the future if they introduced a more personalized or premium product line

Interpretation: Graph 3.1.16 demonstrates that would you be willing to pay more for products/services from your favorite brand in the future if they introduced a more personalized or premium product line. Out of 74 respondents, 33(45%) of the respondents voted yes, 33(45%) of the respondent voted no, while 8(10%) of the respondent voted maybe.

3.1.17. How important is a brand's commitment to sustainability or social responsibility in influencing your loyalty?

Categories	RESPONDENTS	PERCETAGE
Very Important	31	42%
Important	23	31%
Neutral	15	20%
Not Important	5	7%
TOTAL	74	100 %

Table 3.1.17 How important is a brand's commitment to sustainability or social responsibility in influencing your loyalty



Graph 3.1.17 How important is a brand's commitment to sustainability or social responsibility in influencing your loyalty

Interpretation: Graph 3.1.17. demonstrates that how important is a brand's commitment to sustainability or social responsibility in influencing your locality. Out 74 Respondents, 31(41%) of the respondent voted for very important, 23(31%) of the respondent voted for important, 15(20%) voted for the neutral, while 5(7%) of the respondent voted for not important.

3.2 Findings

- Majority of the respondents were males.
- Majority of the respondents were the ones whose purchasing power on their preferred brand was less than 10,000.
- Majority of the respondents were the ones whose occupation was student.
- Majority of the respondents were the ones whose factors influence their decision to keep buying from their particular brand was product quality.
- Majority of the respondents were the ones who had been their customer of their preferred brand was 1-3 years.
- Majority of the respondents were the ones who purchase their product from their preferred brand was very frequently.
- Majority of the respondents were the ones who would remain loyal to their favorite brand.
- Majority of the respondents were the ones who is likely to continue getting loyalty rewards or special offer or discounts from their brand.
- Majority of the respondents were the ones who frequently refer their favorite brand with friends, family or colleague.
- Majority of the respondents were the ones who is very likely to purchase a product based on recommendations from family or friends.
- Majority of the respondents were the ones who likely purchase their new products from their preferred brand.
- Majority of the respondents were the ones who agree that their value and quality of their brand product justify their price.
- Majority of the respondents were the ones whose preferred brand offers only exclusive or limited-edition products.
- Majority of the respondents were the ones who prefer to purchase their product from their brand via direct channel.
- Majority of the respondents were the ones who prefer personalized offers from their favourite brand in the near future.
- Majority of the respondents were the ones who would be willing to pay more for their product from their favorite brand in the future.
- Majority of the respondents voted for very important when it comes to brand commitment to sustainability or social responsibilities.

CHAPTER-4

Conclusion and Recommendation

4.1 Conclusion

The findings of the study provide a nuanced understanding of the intricate interplay between brand loyalty and customer retention in consumer durables products within the new era. These insights offer actionable takeaways for businesses seeking to navigate the complexities of the contemporary market, emphasizing the importance of adapting the strategies to align with evolving consumer expectations and leveraging emotional, technological and sustainable dimensions to foster enduring brand loyalty.

Key Conclusions on how brand loyalty affects consumer retention and lifetime value

- Higher Brand Loyalty = Stronger Customer Retention
 - Loyal customers are less likely to switch brands, even when competitors offer lower prices or promotions.
 - This reduces customer churn, improving the retention rate, which is crucial for long-term profitability.
- Brand Loyalty Directly Boosts Lifetime Value
 - Loyal customers tend to buy more frequently, spend more per purchase, and stay longer with the brand.
 - This increases Customer Lifetime Value (CLV), a key metric for measuring profitability over time.
- Loyal Customers Become Brand Advocates
 - High brand loyalty often leads to word-of-mouth marketing and referrals.
 - These referrals bring in low-cost new customers, indirectly increasing the original customer's lifetime value.
- Lower Acquisition Costs over Time
 - Retaining loyal customers is cheaper than acquiring new ones.
 - As loyalty grows, businesses spend less on marketing and customer acquisition, which enhances overall CLV.
- Emotional Connection Drives Long-Term Value
 - Brands that create an emotional bond (through trust, experience, or shared values) foster deep loyalty.
 - Emotionally connected customers have up to 2x–3x higher CLV than satisfied but unconnected customers.

- Loyalty Programs Can Multiply CLV-If Done Right
 - Well-designed loyalty programs can incentivize repeat purchases and strengthen customer habits.
 - Poorly executed programs, however, may not move the needle significantly on CLV or retention.

4.2 Recommendations

In the rapidly evolving landscape of consumer durable products, building and maintaining brand loyalty is paramount for sustained customer retention. Drawing insights from the study on the importance of brand loyalty within the new era, several recommendations emerge to guide business towards effective strategies tailored to the contemporary market dynamics.

Annexure

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Appendices

How brand loyalty affects customer retention and lifetime value

Greetings,

I am Siddharth Kejriwal, a final year undergraduate student currently pursuing Bachelors of Commerce (Hons.) from The Bhawanipur Education Society College. As part of my research, I am conducting a study on How Brand loyalty affects customer retention and lifetime value, supervised by Ms. Sakshi Shaw. This survey aims to explore the key factors influencing purchasing behavior, brand loyalty, customer lifetime value (CLV)

As part of this research, I have prepared a short survey that will take just 3-5 minutes of your time. Your insights will be instrumental in analyzing the trends and shaping the future of major firms who have been attracting customers through brand loyalty across the board

Your response will remain anonymous and confidential and will be solely used for academic research.

Thank you for your precious time and valuable insights!

Form Link: <https://forms.gle/Px3gVRW4Wepq3d5z8>

Questionnaire used for the survey

Gender

- a) Male
- b) Female
- c) Others

How much do you spend monthly on your favorite brand?

- a) Less than 10,000
- b) Less than 25,000
- c) Less than 50,000
- d) Less than 1,00,000

Occupation

- a) Student
- b) Working professional
- c) Homemaker
- d) Self employed professional

What factors influence your decision to keep buying from a particular brand?

- a) Product quality
- b) Brand reputation
- c) Customer service
- d) Pricing
- e) Convenience or availability

How long have you been a customer of your preferred brand?

- a) Less than 1 year
- b) 1-3 years
- c) 3-5 years
- d) 5+ years

How often do you purchase from your favorite brand?

- a) Very frequently (multiple times per month)
- b) Frequently (every few months)
- c) Occasionally (once or twice a year)
- d) Rarely (only when needed)

Would you continue to buy from your preferred brand even if a competitor offered similar products at a lower price?

- a) Yes, I would remain loyal to my preferred brand
- b) No, I would likely switch to the cheaper option
- c) Maybe, depending on other factors (e.g., quality, convenience)

What makes you more likely to continue being a loyal customer of a brand?

- a) Loyalty rewards or special offers or discounts for loyal customers
- b) Personalized recommendations or services
- c) Exclusive product releases
- d) Strong brand-community engagement (e.g., events, social media)

Have you ever recommended your favourite brand to a friend, family member, or colleague?

- a) Yes, frequently
- b) Yes, occasionally
- c) No, never

How likely are you to purchase from a brand based on recommendations from friends, family, or online reviews?

- a) Very likely
- b) Likely
- c) Neutral
- d) Unlikely
- e) Very Unlikely

How likely are you to buy new products/services when they are released by your favourite brand?

- a) Very likely
- b) Likely
- c) Neutral
- d) Unlikely
- e) Very Unlikely

Do you feel that the value and quality of your preferred brand's products justify their price?

- a) Strongly Agree
- b) Agree
- c) Neutral
- d) Disagree
- e) Strongly Disagree

How important is it for you that your preferred brand offers exclusive or limited-edition products?

- a) Very Important

- b) Important
- c) Neutral
- d) Not important

Do you prefer to purchase products directly from the brand (online store or physical stores) or from third-party retailers?

- a) Prefer the brand (direct channels)
- b) Prefer third-party retailers
- c) I buy from both equally

What would make you consider increasing the amount you spend on your favorite brand in the future?

- a) Better pricing options/Personalized Offers
- b) Improved customer service
- c) More exclusive products
- d) Enhanced sustainability efforts

Would you be willing to pay more for products/services from your favorite brand in the future if they introduced a more personalized or premium product line?

- a) Yes
- b) No
- c) Maybe

How important is a brand's commitment to sustainability or social responsibility in influencing your loyalty

- a) Very important
- b) Important
- c) Neutral
- d) Not important

